Top 10 US States with the Lowest Sales Tax Rates (2026)

Source: Tax Foundation — State and Local Sales Tax Rates, January 1, 2026

Overview

Sales taxes are a major revenue source for most US states, accounting for approximately 32 percent of state tax collections. However, tax rates vary significantly across the country — from 0% in some states to over 7% in others. This report highlights the 10 states with the lowest state-level sales tax rates as of January 1, 2026, along with their average local rates and combined totals.

Ranked Table: Lowest State Sales Tax Rates

Rank	State	State Sales Tax Rate	Avg. Local Rate	Combined Rate
1	Delaware	0.00%	0.00%	**0.00%**
1	Montana	0.00%	0.00%	**0.00%**
1	New Hampshire	0.00%	0.00%	**0.00%**
1	Oregon	0.00%	0.00%	**0.00%**
5	Alaska	0.00%	1.82%	**1.82%**
6	Colorado	2.90%	4.99%	**7.89%**
7	Alabama	4.00%	5.46%	**9.46%**
7	Georgia	4.00%	3.49%	**7.49%**
7	Hawaii	4.00%	0.50%	**4.50%**
7	New York	4.00%	4.54%	**8.54%**
7	Wyoming	4.00%	1.56%	**5.56%**

> ***Note:*** *There is a five-way tie at rank 7 (all at 4.00% state rate), so 11 states are listed for full completeness.*

Key Findings

States with Zero Sales Tax (The NOMAD States)

Delaware, Montana, New Hampshire, and Oregon charge absolutely no sales tax at either the state or local level. These four states represent the most affordable jurisdictions for consumer purchases from a sales tax perspective. Together with Alaska, they form the group commonly referred to as the **NOMAD** states (New Hampshire, Oregon, Montana, Alaska, Delaware).

Alaska also levies a 0% state sales tax; however, local governments are permitted to impose their own rates of up to 7.85%, resulting in an average combined rate of 1.82% across the state.

Lowest Non-Zero State Rate: Colorado (2.90%)

Colorado holds the distinction of having the lowest non-zero state-level sales tax rate at just **2.90%**. However, it is important to note that Colorado's average local sales tax rate is relatively high at 4.99%, pushing its combined rate to 7.89% — higher than several states with nominally higher state rates.

Most Affordable Taxed State Overall: Hawaii (4.50% Combined)

Among all states that actually levy a sales tax, **Hawaii** stands out for having the **lowest combined rate at just 4.50%**. Its state rate of 4.00% is complemented by a minimal average local rate of only 0.50%, making it the most consumer-friendly taxed state in the nation on a combined basis.

Important Considerations

Sales tax rates alone do not tell the complete story of a state's tax burden. Several additional factors should be considered:

- **Local taxes** can significantly increase the effective rate paid by consumers, even in low-rate states (e.g., Alabama's combined rate reaches up to 11.00% in some localities).
- **Tax base differences** matter: Hawaii's 4% General Excise Tax applies to a very broad base, including many business-to-business transactions, which can make it more burdensome than the rate suggests.
- **Other taxes**: States with no sales tax often offset this with higher income or property taxes (e.g., Oregon has no sales tax but levies relatively high income taxes).

Summary

Category	State(s)
No sales tax (state + local)	Delaware, Montana, New Hampshire, Oregon
No state tax (local may apply)	Alaska
Lowest non-zero state rate	Colorado (2.90%)
Lowest combined rate (taxed states)	Hawaii (4.50%)

Data sourced from the [Tax Foundation — State and Local Sales Tax Rates, 2026]. Rates are as of January 1, 2026.